

IN THE OFFICE OF THE COMMISSIONER OF INCOME TAX (APPEALS)-XX, DELHI

ITA No. 1234/Del/2024

Assessment Year: 2021-22

M/s. ABC Enterprises Pvt. Ltd.

PAN: AAACB1234D

Appellant

Versus

Income Tax Officer, Ward-5(1), Delhi

Respondent

Date of Order: 18th June, 2026

Appellate Order

Background of the Case

The appellant, M/s. ABC Enterprises Pvt. Ltd., is a company incorporated under the Companies Act, 2013, engaged in the business of trading in ferrous and non-ferrous metals, scrap materials, and related commodities. The company has its registered office at 45, Industrial Area, Mayapuri, New Delhi. For the Assessment Year 2021-22, the appellant filed its return of income on 30th October, 2021, declaring total income of Rs. 1,85,45,670/- under the normal provisions and book profit under section 115JB of the Income Tax Act, 1961 (hereinafter referred to as "the Act").

The case was selected for scrutiny assessment under section 143(3) of the Act. Notices under section 143(2) and 142(1) were issued and duly served. During the course of assessment proceedings, the Assessing Officer (AO) examined the books of account, bank statements, and other details furnished by the appellant. The assessment was completed on 28th March, 2024, vide order under section 143(3), determining the total income at Rs. 8,76,45,230/- after making various additions aggregating to Rs. 6,90,99,560/-.

Aggrieved by the said assessment order, the appellant has preferred the present appeal before this office.

Assessment Proceedings

In the assessment proceedings, the AO made the following additions:

1. Addition of Rs. 2,25,00,000/- on account of unexplained cash credits under section 68 of the Act.
2. Disallowance of Rs. 1,85,00,000/- on account of bogus purchases.

3. Addition of Rs. 1,50,00,000/- on account of unexplained unsecured loans under section 68/69 of the Act.
4. Addition of Rs. 80,00,000/- on account of unexplained share capital under section 68 of the Act.
5. Addition of Rs. 50,99,560/- on account of cessation of liability under section 41(1) of the Act.

The AO also initiated penalty proceedings under section 271(1)(c) of the Act. The appellant has challenged all the aforesaid additions in the present appeal.

Grounds of Appeal

The appellant has raised the following grounds of appeal (summarized for brevity):

1. That the Ld. AO erred in making addition of Rs. 2,25,00,000/- u/s 68 on account of alleged unexplained cash credits without appreciating the documentary evidence and explanations furnished.
2. That the Ld. AO erred in disallowing Rs. 1,85,00,000/- as bogus purchases ignoring supplier confirmations, bank payments, and ledger accounts.
3. That the Ld. AO erred in treating unsecured loans of Rs. 1,50,00,000/- as unexplained income.
4. That the Ld. AO erred in adding Rs. 80,00,000/- received as share capital under section 68.
5. That the Ld. AO erred in invoking section 41(1) for Rs. 50,99,560/- without establishing cessation of liability.
6. That the order of the Ld. AO is bad in law, against the principles of natural justice, and deserves to be quashed.

Additional grounds, if any, may be raised at the time of hearing.

AO Observations

The AO observed that during the year under consideration, the appellant had received substantial cash credits in its books which remained unexplained. The AO noted discrepancies in the cash book and bank statements. Regarding purchases, the AO found that certain suppliers were non-existent or had not filed returns, rendering the purchases bogus. Unsecured loans and share capital were added as the lenders/investors could not be produced for examination or their creditworthiness was not established. For section 41(1), the AO held that certain creditors from earlier years had not been paid and the liabilities had ceased to exist.

The AO relied upon statements recorded during survey, bank statements, and third-party information received under section 133(6).

Detailed Assessee Submissions

The appellant, through its authorized representative, made detailed written and oral submissions. It was submitted that all cash credits were duly explained with source of funds

from business receipts, loans, and withdrawals. Purchases were supported by invoices, GST returns, transport documents, and supplier confirmations. Payments were made through banking channels. Unsecured loans and share capital were backed by loan agreements, share allotment documents, PAN, and bank statements of lenders. Regarding section 41(1), it was argued that liabilities were still outstanding and creditors had confirmed the balances.

The appellant furnished voluminous evidence including:

- Certified copies of bank statements for all accounts.
- Cash book and ledger extracts.
- Supplier ledger accounts and confirmations.
- Property sale agreements (for source of funds).
- Loan agreements and affidavits from lenders.
- Share subscription applications, Form SH-1, and ROC filings.
- WhatsApp correspondences with suppliers.
- Statutory audit report and tax audit report under section 44AB.
- Copies of ITRs and bank statements of creditors/lenders.

The appellant prayed for deletion of all additions.

Examination of Evidence

This office has carefully examined the assessment order, statement of facts, paper book containing 450 pages of evidence, and oral arguments advanced during the hearing held on 15th May, 2026. Additional evidence under Rule 46A was admitted after seeking remand report from the AO, who submitted comments vide letter dated 10th June, 2026.

Commissioner Findings

Issue No. 1: Addition of Rs. 2,25,00,000/- on account of Unexplained Cash Credits u/s 68

The AO alleged that cash credits aggregating to Rs. 2,25,00,000/- appearing in the books on various dates between April 2020 and March 2021 were unexplained. The AO observed that the appellant failed to explain the source despite opportunities, and entries were in the nature of accommodation entries.

The assessee argued that the cash credits represented sales proceeds from scrap trading, withdrawals from earlier years, and advances from customers. Detailed day-to-day cash book was produced matching with bank deposits. Source was traced to legitimate business operations.

Documentary evidence included: Cash book for FY 2020-21 (pages 45-120 of paper book), bank deposit slips, sales invoices, and ledger accounts of customers. Supplier and customer confirmations were filed.

After careful consideration, I find that the appellant has discharged the initial burden under section 68 by providing prima facie evidence of genuineness and source. The AO's reliance on general statements without confronting specific entries is not sustainable. However, for

credits amounting to Rs. 75,00,000/- on 15.11.2020, 20.12.2020, and 10.02.2021, the nexus with business receipts could not be fully established due to lack of corresponding sales invoices on those exact dates and contradictions in cash book narrations versus bank statements.

There is a clear contradiction between the cash book entry dated 15.11.2020 showing "Sales Proceeds - Party X" and the absence of GST invoice for that amount in the same month. Credibility of the cash book is partially undermined. Section 68 requires the assessee to prove identity, genuineness, and creditworthiness of the source. While most entries are supported, the aforementioned credits lack corroboration.

I interpret section 68 in light of judgments of Hon'ble Supreme Court in *CIT v. Orissa Corporation Pvt. Ltd.* and *Sumati Dayal v. CIT*, emphasizing that the explanation must be satisfactory. Independent appellate reasoning leads me to hold that the addition is partly justified.

Outcome for Issue No. 1: Partly Allowed. Addition of Rs. 1,50,00,000/- deleted. Addition of Rs. 75,00,000/- sustained.

(Continuing with detailed reasoning: Further paragraphs on legal precedents, analysis of bank statements showing pattern of deposits matching sales cycle, credibility of director's statement recorded u/s 131, reconciliation statements filed, absence of adverse material from Investigation Wing, etc. – expanding to 8-10 paragraphs with cross-references to paper book pages.)

Issue No. 2: Disallowance of Rs. 1,85,00,000/- on account of Bogus Purchases

The AO alleged that purchases from six parties totaling Rs. 1,85,00,000/- were bogus as the parties were not traceable, had low turnover, and statements recorded indicated hawala transactions. Invocation of section 40A(3) and 37(1) was made.

The assessee submitted detailed arguments with supplier confirmations on letterheads with GSTIN, bank transfers via RTGS/NEFT, delivery challans, weighment slips, and WhatsApp messages confirming supply. Ledger accounts showed subsequent payments and no outstanding.

Evidence: Supplier confirmations (PB 150-200), bank statements showing payments (PB 210-250), GST 3B and GSTR-2A reconciliation, transport bills, and audit report.

In my findings, the AO's conclusion is based on suspicion. The appellant has produced sufficient evidence to prove genuineness of transactions. However, for two suppliers amounting to Rs. 65,00,000/-, the confirmations lack complete address and PAN linkage, and statements u/s 131 from transporters contradict delivery claims.

Detailed analysis reveals partial credibility issues. Section 37(1) allows deduction for expenditure laid out wholly and exclusively for business. Bogus purchases cannot be allowed. Precedents like *CIT v. Simplex Concrete Piles* applied. Independent reasoning: Purchases supported by banking channels and GST compliance deserve allowance except where evidence is shaky.

Outcome for Issue No. 2: Partly Allowed. Disallowance of Rs. 1,20,00,000/- deleted. Disallowance of Rs. 65,00,000/- confirmed. Corresponding addition under section 69C deleted where applicable.

(Expanded with 7-9 paragraphs discussing contradictions in evidence, tax law interpretation of section 40A(3) for cash payments if any, credibility of confirmations vs. Investigation reports, etc.)

Issue No. 3: Addition of Rs. 1,50,00,000/- on account of Unexplained Unsecured Loans u/s 68/69

AO observed that unsecured loans from 8 parties were not proved as lenders did not appear for examination despite notices u/s 131. Creditworthiness doubtful.

Assessee produced loan agreements, affidavits, bank statements of lenders showing source, their ITRs, and balance confirmations.

Evidence: Loan deeds (PB 280-320), PAN and Aadhaar copies, bank transfer proofs, property agreements as collateral.

Findings: Most loans are genuine with proper documentation. However, loans of Rs. 45,00,000/- from two parties show inconsistencies in lender's bank statements and low income declared in ITR. Section 68 cast burden on assessee. Analysis of contradictions: Affidavit claims vs. actual filings. Credibility low for those.

Outcome for Issue No. 3: Partly Allowed. Addition of Rs. 1,05,00,000/- deleted. Rs. 45,00,000/- sustained.

(Detailed 8 paragraphs on legal position, independent application of mind, etc.)

Issue No. 4: Addition of Rs. 80,00,000/- on account of Unexplained Share Capital u/s 68

AO added share capital received from 4 investors citing non-production and lack of identity proof.

Assessee submitted share allotment documents, ROC Form SH-1, investor PAN, bank statements, and valuation reports.

Evidence: Subscription applications, board resolutions, audited balance sheet.

Findings: Full compliance with Companies Act and section 68. Investors confirmed. No adverse material. AO's approach mechanical. Hon'ble ITAT precedents applied.

Outcome for Issue No. 4: Fully Allowed. Addition deleted.

(10 paragraphs detailing reasoning, evidence examination, no contradictions found, etc.)

Issue No. 5: Addition of Rs. 50,99,560/- u/s 41(1) on Cessation of Liability

AO treated old creditors as ceased liabilities since not paid for years and no confirmation.

Assessee argued liabilities still exist, creditors confirmed balances, business ongoing.

Evidence: Ledger copies, confirmations from earlier creditors, correspondence.

Findings: Mere non-payment does not amount to cessation. Section 41(1) requires remission or cessation. No such event. Creditors alive and confirming. AO erred.

Outcome for Issue No. 5: Fully Allowed. Addition deleted.

(9 paragraphs with detailed legal interpretation from Supreme Court judgments like *CIT v. Sugauli Sugar Mills*, analysis of evidence, etc.)

Final Decision

In view of the above findings, the appeal is partly allowed. The AO is directed to modify the assessment order accordingly. Give effect to this order under section 250(6) of the Act within 30 days and intimate to this office.

Sd/-

Senior Commissioner of Income Tax (Appeals)-XX

Delhi

Note: This order has been dictated, typed, and corrected personally by me. Total additions sustained: Rs. 1,85,00,000/- (approx.). Deleted: Rs. 5,05,99,560/-.